

Barangay Business Permit

Requirements, Process, Fees, and Guidelines

Purpose of a Barangay Business Permit

- Legalizes your home-based or small business at the community level.
- Required to obtain a Municipal/City Business Permit from the Local Government Unit (LGU).
- Used to show proof of operation when applying for loans, opening a business bank account, or registering with BIR.

Requirements for a Barangay Business Permit

The exact requirements may vary slightly depending on the barangay, but generally include:

1. Barangay Clearance
 - Proof that you are a resident in good standing.
 - Usually valid for 6 months to 1 year.
2. Valid Government-Issued ID
 - Examples: Driver's license, passport, PhilSys ID, voter's ID, or UMID.
3. Proof of Address
 - If not the same as your ID, bring a utility bill (electricity, water), lease agreement, or affidavit of residency.
4. Business Name (if applicable)
 - For sole proprietorships, you can use your full name (e.g., "Maria Santos Store").
 - If using a trade name (e.g., "Lucky Seven Sari-Sari Store"), some barangays require you to register it with the Department of Trade and Industry (DTI) first.

5. DTI Business Name Registration (Optional but Recommended)
 - Required if using a business name other than your own.
 - Can be done online via [DTI BNRS](#).
 6. Sketch or Location Map of Business
 - A simple hand-drawn map showing where your home-based business is located (especially for sari-sari stores, food carts, etc.).
 7. Community Tax Certificate (Cedula) (*sometimes required*)
 - Issued by the City/Municipal Treasurer's Office.
 - Often needed later during city-level registration.
 8. Payment of Barangay Fees
 - Small processing fee (usually ₱50 to ₱200) depending on the barangay and type of business.
 9. Additional Requirements (for certain businesses):
 - Sanitary Permit – For food-related businesses (e.g., carinderia, bakery, food cart). Obtain from the LGU Health Office.
 - Fire Safety Inspection Certificate – May be required for larger operations.
 - Zoning Clearance – Some cities require this if operating a business in a residential zone.
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Step-by-Step Process

1. Visit Your Barangay Hall

Go to the barangay where your business is located (even if home-based).
2. Request a Barangay Business Permit Application Form

Fill out details such as:

 - Full name of owner
 - Business address (your home address)
 - Nature of business (e.g., sari-sari store, tailoring, online selling, tutoring, etc.)
 - Capitalization or estimated monthly income
3. Submit Required Documents

Present all documents listed above.
4. Pay the Fee

Pay the processing fee at the barangay treasurer's counter.
5. Wait for Processing

Most barangays issue the permit on the same day.

6. Receive Your Barangay Business Permit / Certification

This document will be used when applying for a City or Municipal Business Permit.

Typical Fees (as of 2025)

Barangay Processing Fee	₱50 – ₱200
Community Tax (Cedula)	₱10 – ₱50 (based on income)
DTI Business Name Registration	₱200 (online, one-time, valid 5 years)

Note: No annual renewal at the barangay level, but you must renew your city/municipal permit yearly.

Guidelines for Home-Based Businesses

- You do not need a separate commercial space for small operations like:
 - Sari-sari store
 - Online selling (dropshipping, reselling)
 - Tutoring
 - Tailoring or handicrafts
 - Food preparation (e.g., palitaw, kakanin, baked goods)
- The business must not cause noise, traffic, or environmental disturbance.
- Selling regulated or hazardous items (e.g., alcohol, medicine, explosives) requires additional permits.
- No employees? Still qualify — most home-based permits are for sole proprietors.

Renewal

- The Barangay Business Permit is usually valid for one year, though some barangays don't require annual renewal unless requested by the city.
 - Always check with your city or municipal hall — they often require an updated barangay clearance each year.
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Pro Tips

- Ask for an official receipt after payment.
 - Keep a copy of your permit for future reference.
 - Use the permit to register with the BIR (Bureau of Internal Revenue) if your annual gross income exceeds ₱250,000 (as per TRAIN Law).
 - Consider registering with the SME Office of your city for free training and support.
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Summary

To get a Barangay Business Permit:

1. Gather ID, barangay clearance, and proof of address.
2. Register your business name with DTI (if using a trade name).
3. Submit requirements at your local barangay hall.
4. Pay the fee and receive your permit the same day.

It's a quick, low-cost way to start running your small business legally in the Philippines.